

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

COMPLAINANT’S MOTION
TO COMPEL DISCOVERY
AND OPPOSITION AND
COUNTERSTATEMENTS OF
DIRECT CHASSISLINK, INC.,
FLEXI-VAN LEASING, INC.,
AND INTERPOOL, INC.
D/B/A TRAC INTERMODAL¹

Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) moves to compel production of documents in response to subpoenas issued by the Presiding Officer on nonparties Direct ChassisLink, Inc. (“DCLI”), Flexi-Van Leasing, Inc. (“Flexi-Van”), and Interpool, Inc. d/b/a TRAC Intermodal (“TRAC Intermodal”) (collectively, the “Intermodal Equipment Providers” or “IEPs”). 46 C.F.R. § 502.150; Exs.² 1-3 (subpoenas); *see also* Initial Order, Dkt. 5.

¹ As directed in Paragraph 11 of the Initial Order, the non-moving parties submitting this Opposition have inserted all of their counter-summaries and arguments into the original motion, but for ease of reference have highlighted all of their inserts in yellow.

² References to “Ex.” or “Exs.” are to the Declaration of David Golden in Support of Complainant’s Motion to Compel, dated May 14, 2021.

Undersigned counsel has repeatedly met and conferred with the IEPs and has offered to substantially narrow the requests to reduce discovery burden. *See* Exs. 4-7 (correspondence letters). Unfortunately, these efforts have been unsuccessful as to several key document requests, as to which the parties have reached impasse. In the interests of “proceed[ing] expeditiously,” Scheduling Order, Dkt. 40 at 2, IMCC now brings the dispute to the Presiding Officer, and requests that this Motion be granted.

IEPs’ Counterstatement:

Citing no precedent, and ignoring the governing legal standards, IMCC, an entity within the American Trucking Associations, Inc. (“ATA”), seeks to compel extensive discovery from companies that are not parties to this action and against which no allegations of wrongdoing have been directed. Precedent of the Commission and the federal courts makes clear that third parties must be protected from burdensome discovery, that party discovery efforts should be exhausted first, that relevance assertions must be backed up with a showing of actual need, and that third parties should be compensated for significant time and expense in responding. *See, e.g., Maher Terminals v. the Port of New York New Jersey* (“*Maher*”), Docket 08-03, at 44-46 (Jan. 18, 2012) (Guthridge, J.) (noting that third parties are held to a “different [lesser] set of expectations” than parties, and that when documents sought from a third party are also available from another source it is appropriate to protect the third party from unduly burdensome production);³ *Genus Lifesciences v. Lannett Co.*, 2019 WL 7313047 (N.D. Cal. Dec. 30, 2019) (“in general, there is a preference for parties to obtain discovery from one another before burdening non-parties with discovery requests”); *In re Aggrenox Antitrust Litigation*, 2017 U.S. Dist. LEXIS 172231 (D.

³ Judge Guthridge denied the vast majority of the discovery sought in *Maher*, ordering production only of certain communications with respect to an identified report that the third party had prepared on a matter directly relevant to the proceeding. The specificity and relevance of this discovery was far greater than that reflected in IMCC’s broad requests here. *See id.*, at 46-55.

Conn. Oct. 18, 2017) (Rule 45 makes cost-shifting “mandatory in all instances in which a non-party incurs significant expense from compliance with a subpoena”).⁴ The IEPs cited this precedent and these legal principles to IMCC in letters of March 30, 2021 and April 22, 2021; IMCC has attached these letters to its motion as exhibits but does not deal with or even refer to them in its motion.

IMCC’s motion does not deal with any of this precedent. To the contrary, the words “third party” do not even appear in its motion, much less any discussion as to why the protections normally afforded to third parties in discovery should not apply. Nor does IMCC discuss precedent of the Commission, such as *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 1999 FMC LEXIS 32 (FMC 1999), which informs the discussion of what is relevant to this proceeding, even though Your Honor cited that precedent in characterizing as “misplaced” some of IMCC’s assertions as to what is at issue here. *See* pp. 8-9 & n.9, *infra*.

As Your Honor has noted, “[t]he complaint focuses on OCEMA and CCMP agreements, CCMP operations manual, and ocean carrier regulations and practices, and not on contracts between ocean carriers and chassis providers.” Order Denying Mot. for Leave to File Interlocutory Appeal, (Jan. 29, 2021), Dkt. 24, at 7. This proceeding is about the Respondents’ chassis pools, not the pools the IEPs operate. To the extent that IMCC’s requests to the IEPs concern the Respondents’ conduct with respect to the chassis pools challenged in this proceeding, the IEPs offered to provide relevant discovery. The IEPs also offered to provide declarations and narrative statements in admissible form to “expedite, limit, or eliminate discovery,” within the meaning of 46 C.F.R. § 502.141. Much of the discovery at issue, however, is not directed to Respondents’

⁴ IMCC has not expressed any willingness to defray the IEPs’ costs of subpoena compliance, and the IEPs reserve their rights to seek such compensation depending on the scope of the discovery ultimately undertaken.

conduct, but instead seeks the IEPs' internal analyses as to their own pools, competitive environment, strategic planning, and data as to the IEPs' revenues and business mix. This information is irrelevant to IMCC's claims, and the precedents limiting third party discovery thus apply with particular force.

When viewed in context, the real reason behind the IMCC's efforts to obtain broad-ranging discovery into the IEPs' business affairs becomes clear. An affiliate of the IMCC/ATA, the North American Chassis Pool Cooperative ("NACPC"), directly competes with the IEPs and has long positioned itself to serve as manager of, and enthusiastic participant in, the gray chassis pools that are the subject this proceeding.⁵ It is NACPC, then, that is the true beneficiary of the IMCC's aggressive efforts to obtain broad market intelligence into the IEPs' business operations. This reality is only highlighted by the IEPs' recent negotiations with the IMCC over the Confidentiality Order. When the IEPs sought a provision that would prevent disclosure of their confidential information to NACPC, the IMCC flatly refused to protect all of this confidential information.⁶ Worse, this refusal came less than a week after IMCC held a meeting – attended by one of the IEPs – at which IMCC amended its bylaws to permit representatives of Allied Members (such as NACPC) to serve on its Board. The Board then promptly used that change to appoint Dave Manning, NACPC's President, to their number, thereby allowing him access to the IEPs'

⁵ See, e.g., <https://www.ttnews.com/articles/nacpc-gets-approval-run-chassis-pool-georgia-south-carolina-ports> (detailing NACPC's prior efforts to create and manage new gray pool operations at ports in Georgia and South Carolina); <https://www.nacpc.org/about/> (outlining "NACPC's mission [t]o establish an effective chassis supply utility that will be implemented on a national basis" and the "important objective" of NACPC "to preserve the 'gray pool' low-cost chassis pool model.").

⁶ Instead, the IMCC proposed an order that would allow information designated as confidential to be disclosed to "any officer, manager, Board Member, or employee of either Party." See Attachment A, which shows the Confidentiality Order IMCC has submitted, and in redline shows the provisions proposed by the IEPs that IMCC is refused to include. Par 6(b) of the IMCC Order allows disclosure of information designated as confidential to IMCC Board members, and Par 8 redacts a provision proposed by the IEPs to prevent any Confidential Information from being disclosed to NACPC.

“Confidential” information under the most recent Confidentiality Order the IMCC has proposed.

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In sum, much of the confidential and proprietary business information sought by the IMCC is neither relevant to this proceeding nor discoverable under governing precedent, and the IMCC’s efforts to convince the Court otherwise are nothing more than a thinly-veiled attempt to gain market intelligence and advantages for NACPC. The IMCC should not be permitted to abuse the court’s subpoena process in this manner.

The IEPs respectfully submit that their responses and offers have been reasonable and that the motion to compel should be denied.

I. BACKGROUND

As major chassis providers, the IEPs are a direct source of discovery concerning the nature of the market and the violations committed by the Respondents. The Complaint explains the IEPs’ role with respect to the provision of chassis at ports and intermodal terminals, including that Respondents sold their chassis to the IEPs and then designated the IEPs as their “default” chassis providers; that Respondents exploit the IEP contracting process to *undercharge* for carrier haulage and *overcharge* for chassis use in merchant haulage; and that IEPs formed a Pool-of-Pools at the ports of Los Angeles and Long Beach, subject to the Respondents’ “box rules” whereby the motor carrier must pay the rental rates of a Respondent’s default IEP chassis provider regardless of whether the motor carrier actually obtained the chassis from a different IEP. *See* Compl. ¶¶ 3, 47-56. These and other allegations demonstrate how the IEPs play an important role in the relevant chassis market, and how Respondents use their contractual

⁷ IMCC has refused other legitimate protections, including notification to the IEPs if their confidential information is used in a deposition so that they can seek to designate those portions of the depositions as to confidential, and protections for extracts of confidential material. *See* Attachment A, ¶¶ 19, 21. The IEPs will file a proposed order with the Court for approval that includes these necessary protections.

relationships with the IEPs to deny motor carriers the benefits of chassis choice and price competition. Indeed, the IEPs' role is important enough that Respondents contended they were necessary and indispensable parties in this proceeding. Mem. of Law in Supp. of Resp'ts Mot. to Dismiss, Dkt. 14, at 17.

At IMCC's request, the Presiding Officer issued subpoenas to the IEPs on March 15, 2021. *See* Exs. 1-3 (issued subpoenas). IMCC and IEP counsel have met and conferred in an effort to reach agreement on the IEPs' response to these subpoenas, in teleconferences on March 22, April 7, and May 7, 2021, and by correspondence attached hereto as: Ex. 4 (March 30, 2021 letter from IEPs' counsel to IMCC); Ex. 5 (April 22, 2021 letter from IEPs' counsel to IMCC); Ex. 6 (May 3, 2021 letter from IMCC to IEPs' counsel); Ex. 7 (May 13, 2021 letter from IEPs' counsel to IMCC).

Through the meet and confer process, IMCC has offered compromises to limit the Requests to information that is most relevant to its claims and without imposing any undue burden on the IEPs. IMCC and the IEPs have reached informal resolution for Requests 3 (all IEPs), 5 (all IEPs), 6 (DCLI), 7 (Flexi/TRAC), 8 (DCLI), 9 (Flexi/TRAC), 10 (DCLI), 10 (Flexi/TRAC), and 11 (DCLI). For certain key Requests, as set forth below, IMCC expressed its willingness to limit the scope to: (1) the four relevant port geographies; (2) the past five years; and (3) information about Pool-of-Pool box rules and participation rules. Unfortunately, IEPs' counsel has not agreed to provide even this information. IMCC also offered to work with the IEPs to develop sworn affidavits in lieu of document production, but the IEPs have offered only to authenticate documents published on the IEPs' public websites.

As set forth below, the subpoena requests as propounded are reasonable in scope and targeted to obtain relevant information for this proceeding. IMCC's proposed compromises

further reduce any burden to the IEPs from document production. After eight weeks of negotiation to address claims of burden, the IEPs still refuse to comply or to reasonably compromise. This motion to compel should be granted.

IEPs' Counter-summary of the Background:

IMCC provides a “background” section to its motion that highlights its shortcomings. It repeats some of its claims, which as noted above are against the *Respondents*—not the IEPs. *See* p. 3, *supra*. It then states that the “IEPs formed a Pool-of-Pools at the ports of Los Angeles and Long Beach, subject to the Respondents’ ‘box rules.’” IMCC Mot. at 2-3 (citing Compl. ¶¶ 3, 47-56). IMCC is correct that the IEPs, not the Respondents, set up this Pool-of-Pools, but does not explain its illogical supposition that the rules of these pools are “Respondents’ rules” rather than rules developed and implemented by the IEPs themselves. Attempting to deal with this apparent misimpression in the context of IMCC’s claims, the IEPs have offered to provide any evidence in their possession that these rules were in fact the result of *Respondents*’ market power and thus could perhaps be attributed to the Respondents rather than to the IEPs, who are not the subject of IMCC’s claims. IMCC has pressed this motion without directly engaging with that offer.⁸

IMCC also impermissibly seeks a wide range of discovery as to the IEPs’ views of chassis interoperability and the alleged efficiencies of “gray” chassis pools. This is apparently on the theory that the Commission can and should order that NACPC be allowed to participate in Respondents’ pools as if they were “gray” pools, regardless of the arrangements made by the parties who actually invested in and operate those pools, or worse, that the FMC should mandate an entirely new chassis provisioning paradigm to suit the IMCC’s (and NACPC’s) wishes by

⁸ IMCC also argues that discovery from the IEPs is warranted because “Respondents contended they were necessary and indispensable parties in this proceeding,” but the Respondents’ interest in not having their contracts with the IEPs potentially broken does not make the IEPs’ conduct and views as to the market relevant.

ordering the Respondent ocean carriers to only procure chassis through certain, IMCC- and NACPC-preferred means. Again, whatever the merits of the Complaint’s allegations with respect to Respondents’ pools, they do not justify discovery into the IEPs’ pools or their general views on their structure. This is particularly so in light of Your Honor’s observation that IMCC’s “focus on efficiency may also be misplaced,” Jan 29, 2021 Order, Dkt. 24, at 6, given that the issue in the case is whether the Respondents’ practices are unreasonable under the Shipping Act and not whether IMCC may believe, or even prove, that another market structure might be more efficient than a current structure.⁹

Notwithstanding that caution, IMCC seeks a variety of documents from the IEPs as third parties on the basis that they discuss market efficiencies. The Commission does not have a warrant to restructure markets based on litigants’ (or third parties’) notions of efficiency, but only to address unreasonable practices, which as in the antitrust context, must involve some exercise of market power and restraint if the standard of reasonableness is to have any structure or predictability. *See, e.g., River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, 1999 FMC LEXIS 32, at * 72-84 (Feb. 3, 1999)(noting that “to analyze whether an exclusive arrangement is prima facie unreasonable under the 1984 Act, the Commission must first determine the market relevant to the practice in question, and then must determine the degree of actual harm or harm likely to be caused within that market”; finding that there was no evidence presented on the respondent’s power in the terminal market or on its acquired power in a defined tug market to

⁹ The *Order* cites to *River Parishes*, 1999 FMC LEXIS 32, at *71, in which the Commission looked to case law applying the antitrust “rule of reason” to inform its consideration of whether a practice is competitively unreasonable. As the *Order* suggests, courts often look to the existence of market power in a properly defined market as a screen *before* undertaking a full analysis of whether a restraint is reasonable, since a party without market power, or a restraint that is not the result of market power, by definition cannot restrain competition in the market as a whole, rather than simply disadvantaging a market participant which does not state an antitrust claim. *See* ANTITRUST LAW DEVELOPMENTS, at 71 (8th ed. 2017) (“Courts generally have held that proof of a defendant’s market power is a prerequisite for a plaintiff seeking to satisfy its burden of proving likely anticompetitive effect.”) (citing numerous cases).

determine whether the arrangement is prima facie unreasonable); *All Marine Moorings, Inc. v. ITO Corporation of Baltimore*, Docket No. 94-10 at 33-34 (May 15, 1996) (noting that both the relevant market and harm to competition analyses in antitrust cases are important concepts in Shipping Act cases and that “there is nothing in either concept which is alien to Shipping Act analysis of the reasonableness of marine terminal practices.”)

IMCC’s “background” discussion also does not fairly characterize the meet and confer process. While IMCC notes that a number of requests have been resolved, in several cases IMCC has simply tabled narrower requests encompassed in requests on which IMCC still insists. IMCC has offered to limit the scope to four relevant port geographies, but this does not address burden as to data not kept on a port-by-port basis, and some of these ports encompass numerous separate locations where intermodal traffic occurs. IMCC’s offer of a five-year time limitation is a concession only in light of initial requests that extended back a decade or more. (Both the geographic and time limitations also appear to have been already offered to the Respondents, rather than being unique concessions granted to the IEPs). IMCC also states that the IEPs have offered only to authenticate documents published on the IEPs’ public websites rather than work more broadly to develop sworn affidavits in lieu of document production, but the IEPs expressly offered to do the latter as well if provided with specific requests. *See* Mot, Exh. 7, at 2-3 (offering “authentication” of “documents, website postings, etc.” and “other declarations”)

A request-by-request discussion follows.

II. ARGUMENT

The parties set forth below, in accordance with paragraph 11 of the Initial Order in this proceeding, the text of each Request at issue, the IEPs’ response,¹⁰ the relevance of the Request,

¹⁰ The IEPs have responded to the subpoena with comments by letter, attached as Exs. 4, 5, and 7. Complainant cites the IEPs’ most complete response to the request, which is generally the initial response where the IEPs’ later

and an explanation of IMCC's proposal to narrow the scope of document production, along with the IEPs' counter-summaries and arguments below IMCC's summary and argument as required by the Order.

Request 1 (All IEPs): Documents and Communications relating to contracts or agreements with Respondent Ocean Carriers (and any amendments thereto) to provide chassis for the transport of Respondent Ocean Carrier containers, including (1) Your responses to requests for proposals from Respondent Ocean Carriers and negotiations thereof, (2) Your proposals to Respondent Ocean Carriers related to the withdrawal of Respondent Ocean Carriers from CCM-managed chassis pools and negotiations thereof, (3) Your analyses of chassis pricing for CH container movements and the effect on such pricing from designating or not designating You as the preferred/default provider for MH container movements and/or allowing or not allowing motor carrier chassis choice for MH movements, and (4) Your analyses of the effects of chassis interoperability or non-interoperability with other chassis providers or chassis pools at ports or inland intermodal terminals on availability operational efficiency and quality of chassis pricing. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, such as strategy memoranda, presentations, and business plans, including with respect to topics (1) – (4). The Relevant Time Period for this Request is from January 1, 2011 to the present.

- **IEPs' Response:** This request calls for information that should be obtained from the Ocean Carrier parties. It is also overly broad in that it requests documents that "relate" to broad topics spanning over ten years, and seeks irrelevant information, such as the Chassis Providers' analyses of various issues. (Ex. 4.)

Request 1 Relevance: As the Complaint alleges, the IEPs play a central role in the market for chassis provision, and their assessment of the effects on the chassis marketplace of the practices that are the subject of this proceeding are highly relevant. Subparts (1)-(3) of this Request seek the IEPs' responses to requests for proposals from ocean carriers, and negotiations thereof; IEP proposals to ocean carriers regarding those ocean carriers' withdrawal from CCM-managed chassis pools, and negotiations thereof; and IEP analyses of chassis pricing for carrier haulage movements, and the effect of such pricing for merchant haulage movements. Subparts (1)-(3)

correspondence indicates they would stand by their prior objections. The IEPs submit that in limiting the inclusion of the IEPs response to a request to what IMCC has determined to be the IEPs' "most complete" response, IMCC has not accurately stated their position. IMCC includes in its motion short, incomplete position statements it attributes to the IEPs regarding each request. This approach is misleading. The entirety of the three letters the IEPs have sent (Exs. 4, 5, and 7) must be read to fully understand the IEPs' position on each response.

remain directly relevant to allegations in IMCC’s complaint, including that each Respondent ocean carrier has designated an IEP as its default provider for haulage of containers when a motor carrier is billed for usage while awarding the contract based on the price of haulage when the ocean carrier is billed for chassis usage, Compl. ¶¶ 3(e), 47-49; has withdrawn from CCMP Agreement pools and designating single-provider chassis pools as the default provider for all container movements, *id.* ¶¶ 3(d), 51, 78; and has compelled IEPs to *undercharge* the ocean carrier for carrier haulage movement while *overcharging* for chassis usage for merchant haulage (without fear that the overcharge will cause motor carriers to seek the services of another IEP), thus denying the benefits of chassis choice and price competition to motor carriers, to the benefit of the ocean carrier respondents, *id.* ¶¶ 3(f), 47-49, 78, 80. Subpart (4) of this Request seeks analyses of the effects of chassis interoperability or non-interoperability with other chassis providers or chassis pools. This information is directly relevant to core allegations in the Complaint, including the benefits of interoperable “gray” pools and the harms from single-provider pools. Compl. ¶¶ 39-46, 53-56, 80.

IMCC’s Efforts to Narrow: Because IMCC also seeks documents responsive to subparts (1)-(3) from Respondents, IMCC has proposed that IEPs may postpone responses to these subparts for now, and respond only to subpart (4). As major chassis providers, the IEPs’ views will allow the Presiding Officer to determine the benefits and harms of interoperability and non-interoperability in an efficient manner. IMCC has further narrowed the Relevant Time Period for this Request to January 1, 2016 to the present.

IEPs’ counter summary and argument:

IMCC’s sole argument on this point is that it seeks this data to present “the benefits and harms of interoperability and non-interoperability in an efficient manner.” As set out above,

however, IMCC is in error in believing that this proceeding allows it to impose its views of “efficiency” on the industry, much less that “the IEPs’ views” on the matter are relevant. *See pp. 3, 8-9, supra.* The reasonableness inquiry under Section 41102(c) requires a showing that market power has caused competitive harm through specific unreasonable practices; it is not a general inquiry into market efficiency. *Id.* This request also runs afoul of the principle that third parties cannot be required to provide market analysis and observations that are “substantially similar to the kind of market analysis Plaintiffs will need to conduct themselves by retaining (and paying) experts.” *In re Domestic Drywall Antitrust Litigation*, 300 F.R.D. 234, 242 (E.D. Pa. 2014). IMCC does not seek information as to specific events and occurrences in dispute, which is sometimes discoverable, *see* Fed. R. Civ. P. 45, adv. comm. notes, but rather asks for the IEPs’ general views on efficiencies broadly defined. Courts have protected third parties from acting as unpaid experts, which is essentially the use IMCC seeks to make of the IEPs here. Searching through five years of records for analyses of the efficiencies of various pool structures would also impose a significant burden that the IEPs should not be asked to undertake.

Request 2 (All IEPs): Documents and/or data sufficient to show for each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers: (1) the number of Respondent Ocean Carrier container movements that utilize chassis provided by You that are CH movements; (2) the number of Respondent Ocean Carrier container movements that utilize chassis provided by You that are MH movements; (3) the number of Respondent Ocean Carrier MH container movements that do not utilize a chassis provided under Your contracts with Respondent Ocean Carrier; (4); the average and median age of Your chassis; and (5) Your daily rental prices and amendments and updates thereto for chassis used in MH movements. Documents and/or data responsive to categories (1), (2), and (3) may be provided in a format that aggregates such data no less frequently than monthly by any Respondent Ocean Carrier. Documents and/or data responsive to category (4) may be provided in a format that aggregates such data no less frequently than semiannually by port and inland intermodal terminal. The Relevant Time Period for this Request is from January 1, 2015 to the present.

- **IEPs’ Response:** This request calls for information that should be obtained first from the Ocean Carrier parties and/or from CCM as the pool manager for various implicated pools/geographic areas. It is also overly broad in that it requests documents pertaining to every container movement for over six years at every port in which our clients operate

throughout the United States, including multiple locations at each port, which would generate an extremely large volume of data. We have difficulty seeing how you would use that data, if it could even be made available, much less how it is relevant to your claims. (Ex. 4.)

Request 2 Relevance: The requested data is directly relevant to the question of market definition, which the Presiding Officer has identified as an area of inquiry. *See* Order Denying Mot. for Leave to File Interlocutory Appeal, Dkt. 24, at 6 (“The parties may want to consider the appropriate scope of the relevant market, whether there are multiple relevant markets, and the harm to competition”). Particularly because the IEPs are the dominant chassis providers in the U.S., their statistical analyses and assessments of the trends in chassis usage are highly relevant to the existence of potential product submarkets in the provision of chassis and the existence of alternatives (e.g., chassis ownership, leasing, and daily rentals). Further, market-level aggregated data and analyses are uniquely within the IEPs’ possession and thus discovery of that information would allow discovery to proceed expeditiously.

IMCC’s Efforts to Narrow: IMCC has narrowed this Request by seeking documents only as they are kept in the ordinary course of business, and narrowed by the four relevant geographies. IMCC has further narrowed the Relevant Time Period for this Request to January 1, 2016 to the present. The IEPs are the most efficient source of discovery because, as the Respondent ocean carriers’ default chassis providers, they have the best access to information regarding chassis provision and movements in the four relevant geographies (or, if unavailable, nationally), and they collect this information in the ordinary course of their business.

IEPs’ counter summary and argument:

Once again IMCC is not seeking information that directly pertains to the acts, omissions, or conduct of the Respondents they are suing, but rather is seeking discovery from non-parties into broad and general matters such as “statistical analyses and assessments of the trends in chassis

usage” and “information regarding chassis provision and movements.” They assert that this information will, in some unexplained way, help them assess market definition or “potential product submarkets,” but these assertions are makeweight—IMCC’s complaint does not even use the words “market” or “submarket.” The information sought is about the IEPs’ businesses, which are not the subject of the complaint. It is of more obvious potential competitive use to NACPC than relevance to IMCC’s case.¹¹

IMCC also cannot argue that this information about container and merchant haulage is not available from the Respondent ocean carriers and IMCC’s own trucker members and affiliates. To the contrary, IMCC’s statement that the IEPs are the “most efficient source” for this information, also unexplained, implicitly concedes that there are other sources. IMCC has not justified the burden on the IEPs of collecting and producing this information, particularly given its failure to establish even the most remote relevance of this information to its claims.

Request 3 (All IEPs): Documents sufficient to show Your discounts, if any, below daily rental prices provided to motor carriers for chassis to be utilized for MH movements at each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers, including Your reasons and strategy for providing such discounts. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans and contracts including such discounts, if any. The Relevant Time Period for this Request is from January 1, 2015 to the present.

- **IEPs’ Response:** The Chassis Providers stand by their objections to this request and the clarifications raised above and in our prior communications. However, as requested, the Chassis Providers will produce their respective published rates for five years in the agreed upon markets (Ports of LA/LB, Port of Savannah, intermodal terminals in Chicago area, and intermodal terminals in the Memphis area). Due to the manner in which this information is maintained, it will be provided in narrative format. (Ex. 7.)

Request 3 Relevance: The IEPs do not appear to dispute the relevance of Request 3.

¹¹ As another example of IMCC’s intent to use the guise of “chassis choice” to increase its market share is NACPC’s recent effort in Charleston to replace CCM pools with a NACPC pool.

IMCC's Efforts to Narrow: The IMCC agrees to the scope offered by the IEPs, but not to a response in a "narrative format." IMCC requests that the IEPs provide responsive documents and documents sufficient to show their published rates for daily chassis rentals from January 1, 2016 to present, as maintained in the ordinary course of business.

IEPs' counter summary and arguments:

The IEPs have offered to provide their published rates for daily chassis rentals for the last five years in the agreed upon areas, which is the information now sought by this request. Because they do not keep it in a readily accessible form going back for five years in the ordinary course of their business, it is more efficient for all the parties to provide it in an admissible narrative form. IMCC objects to this but does not state why. The IEPs should be permitted to provide the data in the efficient manner they have proposed rather than in a more burdensome one.

Request 4 (All IEPs): Documents and Communications related to Flexi-Van Leasing, Inc. and Direct ChassisLink, Inc.'s January 2014 request for a Department of Justice Antitrust Division Business Review Letter.

- IEPs' Response: This request seeks information concerning a business review having nothing to do with Ocean Carriers; the review concerned pools established and managed by the Chassis Providers, not your Respondents. It is also burdensome in that it calls for documents pertaining to a review sought over seven years ago, and seeks information on a matter where the bulk of the responsive documents are likely to be privileged and confidential. (Ex. 4.)

Request 4 _Relevance: Documents responsive to this Request are relevant to the claimed benefits of interoperable "gray" pools like the Pool-of-Pools in Los Angeles/Long Beach.

Compl. ¶ 55. See Dep't of Justice, Response to Flexi-Van Leasing, Inc. and Direct ChassisLink, Inc. Request for Business Review (Sept. 23, 2014) ("You represent that the increased flexibility created by the interchangeability will enhance customer service, improve chassis productivity and respond to the desire of LA/LB port authorities to achieve better overall utilization of the region's chassis fleets."). The IEPs' view of the benefits of interoperability will assist the

Presiding Officer in determining whether the Respondents' conduct in ports and inland intermodal terminals is unjust and unreasonable. *See* Order Denying Mot. to Dismiss, Dkt. 17, at 5.

IMCC's Efforts to Narrow: IMCC seeks only the IEPs' submissions to the Department of Justice, which are not privileged, not the IEPs' internal communications regarding the Business Review Letter. IMCC has stated its willingness to work with the IEPs on sworn affidavits containing statements of fact admissible in this Proceeding to satisfy this Request, such as the information and charts set forth on the Pool-of-Pools website regarding the benefits of the Pool-of-Pools. *See* Compl. ¶¶ 27, 55-56.

IEPs' counter summary and arguments:

For the reasons set out above, IMCC has not justified seeking this information as to the asserted efficiencies of pools that are not the subject of their complaint, and the burden of pulling and producing multiple submissions to the Justice Department over a period of many months more than seven years ago cannot be justified given the lack of relevance of this information.

With respect to the operation of the Pool-of-Pools more generally, which is a different request from what was provided to Justice, to the extent they are relevant to IMCC's claims against Respondents the IEPs have advised IMCC that they are willing to work with counsel on admissible declarations in lieu of discovery if requests are made in writing and contain the precise declarations requested. Exh. 7, at 3. They have also stated that these declarations would go beyond authentication and address declarations as to facts and events, *id.*, so IMCC's assertion that the IEPs have refused to do so is false. The cited information and charts set forth on the Pool-of-Pools website appear to fall within this offer.

Request 6 (Flexi/TRAC), Request 7 (DCLI): Documents sufficient to show the operation of the Pool-of-Pools, including (1) the system for financial settlement among participating POP

chassis contributors, (2) the billing for chassis usage in the Pool-of-Pools by chassis contributors, (3) the quality of chassis contributed to the Pool-of-Pools and maintenance of roadability, (4) the eligibility of an Additional Chassis Contributor to participate as a chassis contributor to the Pool-of-Pools, (5) the entities responsible for the administration of the Pool-of-Pools, and (6) any decisions or votes by participants in the Pool-of-Pools to allow or not allow the institution of motor carrier chassis choice on MH movements. Documents responsive to this request include agreements, manuals, and procedures, including any amendments thereto. The Relevant Time Period for this Request is from January 1, 2014 to the present.

- IEPs' Response: Your claims are against the pools operated by OCEMA and its affiliates. The Pool of Pools structure is operated by the Chassis Providers. If there is a justification for seeking a huge amount of highly confidential information over a more than seven-year period related to pools that are not subject to your claims, we are not aware of it. (Ex. 4.) The Chassis Providers stand by their objections to this request and the clarifications raised above and in our prior communications, and will provide any information regarding carrier market power in adopting the box rules or purported participation rule described above. (Ex. 7.)

Request 6 (Flexi/TRAC), Request 7 (DCLI) _Relevance: Documents responsive to this Request concern whether the IEPs' and Respondents' conduct at non-CCMP ports affects chassis availability, and thus shippers' ability to obtain their containers from ports. *See* Order Denying Mot. to Dismiss, Dkt. 17, at 5. Specifically, these documents will further address whether the IEPs' Pool-of-Pool procedures, including those implementing ocean carrier "box rules," which prevent freedom of chassis choice by assigning chassis usage and reimbursement to the ocean carrier's designated IEP rather than to competing chassis providers. Compl. ¶¶ 50, 56.

IMCC's Efforts to Narrow: IMCC has narrowed this Request by seeking only documents sufficient to show the operation of the Pool-of-Pools, including policies, rules, manuals, and documents showing Pool-of-Pools operations from January 1, 2016 to the present. In the alternative, IMCC has stated its willingness to work with the IEPs on sworn affidavits containing statements of fact admissible in this Proceeding covering the matters set forth in this request, such as the Respondent ocean carriers' rules utilized by the IEPs to assign usage and bill chassis in the Pool-of-Pools (Compl. ¶ 56, quoting TRAC Intermodal website), affirming the validity of the statements and graphics on the Pool-of-Pools website (Compl. ¶ 55), and as to the procedures

for assignment of chassis usage by individual IEP. Compl. ¶ 56 (“Chassis Provider/Ocean Liner company Matrix”).

IEPs’ counter summary and arguments:

IMCC states above, at p. 6, that it has “expressed its willingness to limit the scope” of its requests to “information about Pool-of-Pool box rules and participation rules.” In this Request, however, IMCC describes the narrowing as including “policies, rules, manuals, and documents showing Pool-of-Pools operations from January 1, 2016 to the present,” which goes beyond simply the box rules and the alleged participation requirement. Whatever IMCC’s intent, the IEPs believe that the request should be limited to the two categories of box rules and the alleged participation rules, as those are the rules addressed in the Complaint. *See* Compl. ¶¶ 3(c), 50, 56, 58-59.

IMCC also continues to mischaracterize these rules as “Respondent ocean carriers’ rules,” suggesting that they are merely “utilized by the IEPs” rather than having been adopted by the IEPs themselves as the rules governing their own pools. To repeat, the Pool-of-Pools pools were established by, and are operated by, the IEPs, *not* the Respondents. The IEPs have made that clear throughout the meet and confer process, but IMCC has continued to misstate that they are Respondents’ rules not the IEPs’ rules.

To accommodate IMCC as to what might be potentially relevant on this Request, however, the IEPs have offered to search for and provide any evidence that the rules were not adopted as a matter of the IEPs’ independent business judgment, but rather were forced on the IEPs as an exercise of market power by the Respondents. This offer is consistent with relevant precedent. *See, e.g. In re Mushroom Direct Master File Purchaser Antitrust Litigation*, 2007-2 Trade Cases P 75,939, 2007 WL 3342393, at *2 (E.D Pa. 2007) (noting “the stronger showing of relevance required for non-party discovery,” and allowing limited discovery from nonparties as to “whether

any third parties conspired with [a party] or any of its members to violate the antitrust laws,” and “whether any parties were coerced, threatened or pressured by defendants to participate, join or conspire with the [defendant cooperative] or any of its members to violate the antitrust laws.”) If there is no such evidence as to any or all of the IEPs, each IEP will provide a declaration to that effect. Any information sought beyond that is irrelevant.

Request 8 (Flexi/TRAC), Request 9 (DCLI): Documents sufficient to show Your analyses of the benefits and harms of establishing and/or disestablishing interoperable chassis pools at each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers, including pools managed by CCM. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans. The Relevant Time Period for this Request is from January 1, 2015 to the present.

- **IEPs’ Response:** As with the prior two requests, this request broadly seeks a wide range of information about pools that are not the subject of your claims. To the extent it references CCM, relevant information should be sought from CCM and analyzed to see if it provides support for your claims before highly burdensome discovery is sought from non-parties. Further, we do not see the relevance to your claims of the Chassis Providers’ analyses of any topic. (Ex. 4.)

Request 8 (Flexi/TRAC), Request 9 (DCLI) Relevance: Documents responsive to this Request are relevant to show the benefits and harms of establishing and/or disestablishing interoperable chassis pools. Compl. ¶¶ 39-42. Evidence of key market participants’ assessments of benefits and/or harms of interoperable chassis pools would provide highly probative evidence of the effects of Respondents’ conduct, such as chassis choice restrictions and withdrawal from interoperable chassis pools, on chassis availability in ports and inland intermodal terminals, and thus shippers’ ability to obtain their containers from ports. *See* Order Denying Mot. to Dismiss, Dkt. 17, at 5.

IMCC’s Efforts to Narrow: IMCC has narrowed this Request by seeking only documents “sufficient to show” the requested information, including documents submitted to an IEP’s board of directors, management, and/or owners, including strategy memoranda, presentations, and

business plans. As major chassis providers, the IEPs' views will provide relevant evidence of the benefits and harms of interoperability and non-interoperability that would not be in any Party's possession. IMCC has narrowed the Relevant Time Period for this Request to January 1, 2016 to the present.

IEPs' counter summary and arguments:

This is the third, separate request in which IMCC seeks general information on the benefits and harms of interoperable, or "gray," chassis pools, rather than information on Respondents' pools that are the subject of this proceeding. It also again impermissibly seeks internal market analyses and strategic planning information of utmost sensitivity to the IEPs, individually and collectively. For the reasons stated above as to similar or identical requests, IMCC has not justified the burden on the IEPs of collecting and producing this information.

III. CONCLUSION

IMCC respectfully requests that the Presiding Officer issue an order compelling discovery of the IEPs.

The IEPs respectfully request that the motion to compel be denied.

DATED: May 14, 2021

Respectfully submitted,

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DATED: May 21, 2021

Respectfully submitted,
[as to the inserted highlighted material]

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CERTIFICATE OF SERVICE

I certify that, on May 21, 2021, a true and current copy of the foregoing Motion to Compel Discovery, along with the inserted opposing countersummaries and arguments of third party subpoena recipients Direct ChassisLink Inc., Flexi-Van Leasing, Inc., and Interpool, Inc. d/b/a TRAC Intermodal was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel for Complainant and counsel for the Respondents:

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